

has also grown over time. This is almost the worst case. You can do much better than this. And the saving ratio you need can be much lower.

You are sixty. Your kids are now your age today. And you find yourself telling them stuff that your dad says today that irritates the hell out of you. Circle of life, my friend. Note to my future self: *Never* say ‘When I was your age ...’ So you are now a rich old man with over Rs 10 crores under your belt. Yeah, your clothes have shrunk specially over the middle and you need better glasses, for you can’t see your toes any more when standing straight. At retirement at sixty, you’ll need 70 per cent of the expenditure of your working self, or Rs 16.88 lakhs a year or Rs 1.4 lakhs a month.

Remember your retirement kitty was just over Rs 10 crores; you are drawing income from Rs 7 crores and have put away Rs 3 crores in equity mutual funds for the future. At 7 per cent, the investment of Rs 7 crores gives you an annual income of just over Rs 52 lakhs, but you need only about Rs 17 lakhs. You invest back the extra into the equity mutual fund product. Now, your expense at age sixty-one will grow at 6 per cent a year, and each year you need more and more income just to retain your purchasing power.

So by age sixty-five, you will need about Rs 21 lakhs a year or almost Rs 2 lakhs a month. By age seventy-five, you need just over Rs 3 lakhs a month. By age ninety, you need almost Rs 8 lakhs a month. If these numbers sound bizarre, just listen in to the really old people chatting in the park or at family dos, and you will hear the complaint against inflation. As a kid I remember getting irritated whenever the old people would get together. Now they’ll start talking about how expensive everything is, I used to mutter. Back in those days, kids couldn’t utter aloud all the insidious little comments that were swimming around in their heads when adults were around. ‘Arrey, on a salary of twenty rupees you could run the house and then have something left over? That shawl Mamijee wears, no? That cost a full five rupees. Now you can’t buy it for five thousand only.’

Everybody shakes their heads. ‘Tch tch. *Zamana hi kharab hai* (these are bad times).’ As a kid I remember buying sweets for five paise and bus tickets cost twenty-five paise (and I’m on my way to irritating the life out of kids in the family). My daughter has never seen coins below one rupee. Her daughter will